

course, you'll need to come up with that IRS money when you file. At high income levels you may have to pay more than 100% of your previous year's payments. (Geez.)

5. **Take advantage of state and local deductions.** Read your state's and your town's tax instructions carefully. Some states, including Alabama and Louisiana, allow you to deduct some of your federal income tax on your state return. For a full list, go to www.taxfoundation.org/taxdata. Some states allow you to deduct the license fees for your car. And most states give a tax break to homeowners who paid local property taxes. (This is in addition to the federal tax break you get on property taxes.)
6. **Consider taxes when you invest.** If your tax rate is 25% or higher, look into investments that offer some tax advantages, such as tax-free money market funds. While it doesn't make sense to choose an investment solely for the tax break, it's a factor to consider. (See Chapter 5 for a simple formula that will help you determine whether tax-free investments are right for you.)
7. **Take advantage of tax-favored employee benefits.** If you work for a company that offers you the chance to use a Flexible Spending Account (FSA) to pay for child care or for medical expenses that aren't covered by your insurance, use it. Same thing with Health Savings Accounts (HSAs), which cover out-of-pocket medical expenses. For details on both types of account, see Chapter 8). And, of course, contribute the maximum you can to your 401(k).
8. **If you're a self-employed performer, see if you're eligible for a special tax break.** Whether you itemize deductions or not, you may get your first big break on your tax form. That's because you're allowed to deduct business-related expenses (the cost of acting classes, headshots, costumes, etc.) if your AGI is \$16,000 or less before this deduction. The rules about who can deduct these expenses are complex, so check the details at www.irs.gov; go to *Travel, Entertainment, Gift, and Car Expenses*, Publication 463.